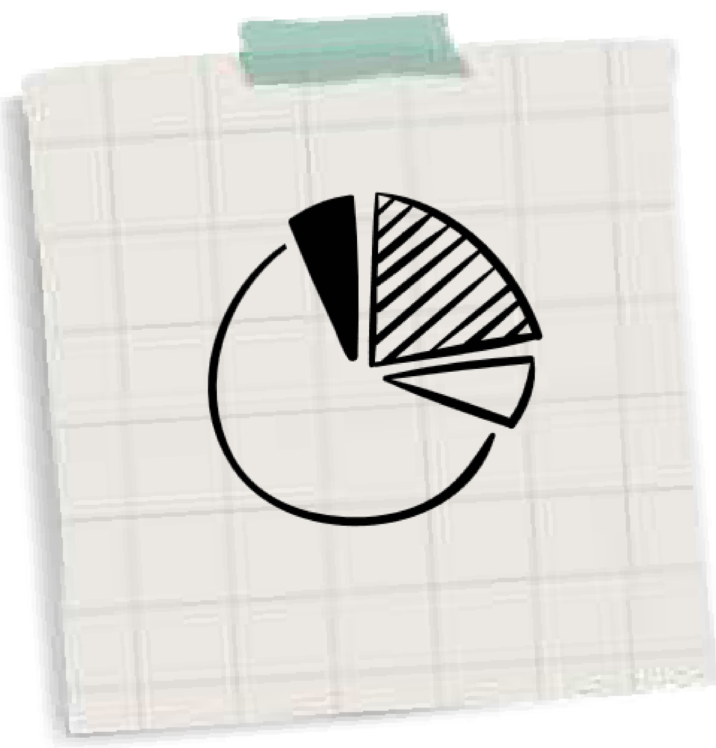
c. Hybrid Funds

The third category of funds is Hybrid funds. **As their name implies, these funds invest in multiple asset classes like equity, gold, debt, etc.** This diverse mix provides several advantages such as:

Advantages of Hybrid Funds



Diversification: Hybrid funds spread your investment across different asset classes, reducing the overall risk compared to focusing solely on one class.

Smart rebalancing: Fund managers actively manage the allocation between assets, adjusting based on the market conditions to maintain the desired risk profile.

Tax benefits: Hybrid funds with 65% or more equity investment enjoy lower capital gain tax rates as they are considered Equity Mutual Funds.

With all these advantages there are certain negatives as well.